

remember one failure to pivot especially well.

A few years after IMVU's founding, the company was having tremendous success. The business had grown to over \$1 million per month in revenue; we had created more than twenty million avatars for our customers. We managed to raise significant new rounds of financing, and like the global economy, we were riding high. But danger lurked around the corner.

Unknowingly, we had fallen into a classic startup trap. We had been so successful with our early efforts that we were ignoring the principles behind them. As a result, we missed the need to pivot even as it stared us in the face.

We had built an organization that excelled at the kinds of activities described in earlier chapters: creating minimum viable products to test new ideas and running experiments to tune the engine of growth. Before we had begun to enjoy success, many people had advised against our "low-quality" minimum viable product and experimental approach, urging us to slow down. They wanted us to do things right and focus on quality instead of speed. We ignored that advice, mostly because we wanted to claim the advantages of speed. After our approach was vindicated, the advice we received changed. Now most of the advice we heard was that "you can't argue with success," urging us to stay the course. We liked this advice better, but it was equally wrong.

Remember that the rationale for building low-quality MVPs is that developing any features beyond what early adopters require is a form of waste. However, the logic of this takes you only so far. Once you have found success with early adopters, you want to sell to mainstream customers. Mainstream customers have different requirements and are much more demanding.

The kind of pivot we needed is called a customer segment pivot. In this pivot, the company realizes that the product it's building solves a real problem for real customers but that they are not the customers it originally planned to serve. In other words, the product hypothesis is confirmed only partially. (This chapter described such a pivot in the Votizen story, above.)

A customer segment pivot is an especially tricky pivot to execute